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Powell signals interest rate cut

Stresses concerns over softening job market; yet inflation still stubborn

By Colby Smith
NEW YORK TIMES

JACKSON, Wyo. — Jerome Powell, the chair of the Federal Reserve, on Friday used a closely watched speech to send his strongest signal yet that the central bank is preparing to soon restart interest rate cuts, highlighting the labor market's vulnerabilities even as inflation accelerates.

Powell held back from explicitly endorsing a reduction in borrowing costs at the Fed's next meeting in September. But his emphasis on the prospects of a weakening economic backdrop made it clear that a cut is likely next month.

"The balance of risks appears to be shifting," Powell said in his final speech as Fed chair at an annual conference hosted by the Reserve Bank of Kansas City in Jackson, Wyo. With borrowing costs weighing on the economy, the labor market softening, and inflation risks contained, "The shifting balance of risks may warrant adjusting our policy stance," said the chair.

Powell highlighted the recent slowdown in monthly jobs growth, but questioned whether it was a function of a pullback in demand from companies or a reduction in the supply of workers resulting from President Trump's immigra-

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DAVID PAUL MORRIS/BLOOMBERG

"The balance of risks appears to be shifting," said Fed chair Jerome Powell, pictured with other banking officials.

As challenges rise, hospital reveals layoffs

South Shore is latest to cut amid turmoil in market

By Jessica Bartlett
GLOBE STAFF

South Shore Health laid off 51 employees and said it would eliminate more jobs in the coming weeks, the latest in a wave of cutbacks by Massachusetts hospitals hit by escalating costs and bracing for federal spending reductions.

The Weymouth-based health system announced in a staff-wide memo Thursday that the layoffs included six senior executives but didn't detail the other positions affected. An additional 24 vacant positions were eliminated. The cuts, South Shore said, are part of an effort to close an expected \$60 million hole in the system's budget for next year.

Hospitals throughout the state are struggling with a competitive labor market and escalating costs. Some, including UMass Memorial Health, have closed services in anticipation of federal budget cuts. Others such as Mass General Brigham undertook reductions in February in anticipation of future shortfalls.

At South Shore, the layoffs amount to less than 1 percent of the hospital's 6,500-plus person workforce. The memo said more layoffs are

LAYOFFS, Page A10

For some, attending classes is lower priority

Extracurriculars may take a toll on viewpoint diversity

By Claire Thornton
GLOBE STAFF

CAMBRIDGE — Before fall semester has begun, undergraduates at Harvard University were busy this month volunteering at a nearby homeless shelter, writing for the

INSIDE
THE WAR ON
HARVARD

Harvard is perhaps as famous for its many extracurricular activities as it is for academics. The Harvard Lampoon, Final Clubs, and Hasty Pudding Theatricals are extensions of campus life that have become part of the culture of Boston and beyond. But the unusual amount of time

school newspaper, and working at a robotics start-up.

students invest in extracurriculars on and off the Ivy League campus comes with a downside, and is perhaps one reason why Harvard finds itself in a crisis over academic freedom.

Harvard students are so overscheduled that they often don't attend class, according to a group of professors tasked with probing the reasons for the university's lack of so-called viewpoint diversity.

"You can't have different views without learning," Amanda Clay-

baugh, dean of undergraduate education, said this month during an interview in University Hall.

A report issued this year cited attendance and attentiveness as primary reasons why students tend to herd around trendy ideas and causes — more so than any type of pervasive liberal bias like that alleged by President Trump in his ongoing dispute with Harvard.

When students — no matter their HARVARD, Page A10

LOVIN' IT TO PIECES



PHOTOS BY HEATHER DIEHL FOR THE BOSTON GLOBE



The demolition derby is still a round-and-round chaotic smash after all these years at the Marshfield Fair. Top, Eddie Tobin lifted Lucan Klier as they celebrated a win of the McDougall Bros. team Friday afternoon. The cars are festooned with messages for family and friends, with the occasional ad. **B1.**

'It seems like the governors are following each other off a cliff like lemmings at this rate.'

SARAH MATTHEWS, former deputy press secretary under Donald Trump

Governors send Guard, along with a measure of devotion

For some in GOP, D.C. response signals a loyalty to president

By James Pindell and Sam Brodey
GLOBE STAFF

WASHINGTON — Call it the latest example of Republicans asking not what President Trump can do for them but what they can do for President Trump.

The decision by six Republican governors to send hundreds of their state's National Guard members to aid in Trump's call for a military surge to patrol the na-

tion's capital has been infused with politics.

A hallmark of Trump's second term has been that many of his most high-profile initiatives have doubled as opportunities to test the loyalty of Republican leaders around the country. His request that governors deploy their National Guard to Washington is one of the starkest, and the most recent, illustration of that dynamic.

The governors of Louisiana, Mississippi, Tennessee, West Virginia, South Carolina, and Ohio have all, so far, agreed to send troops to D.C.

Not only do Republican governors NATIONAL GUARD, Page A7

Famine declared as Israel plans assault

By Sam Mednick and Wafaa Shurafa
ASSOCIATED PRESS

GAZA CITY, Gaza Strip — The world's leading authority on food crises said Friday the Gaza Strip's largest city is gripped by famine and it's likely to spread across the territory without a cease-fire and an end to restrictions on humanitarian aid.

The Integrated Food Securi-

ty Phase Classification, or IPC, said famine is happening in Gaza City, home to hundreds of thousands of Palestinians, and could spread south to Deir al-Balah and Khan Younis by the end of next month.

The determination comes after months of warnings by aid groups that Israel's restrictions of food and other aid into Gaza, and its military offen-

GAZA, Page A6



SAHER ALGHORRA/NEW YORK TIMES

Palestinians gathered at a charity kitchen in Gaza City on Friday.

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Steady as she glows

Saturday: Sunny and breezy. High 83-88, low 64-69.

Sunday: Much the same.

Weather and comics, **D4-5.**

Obituaries, **C9.**

FBI agents raided the home and offices of John Bolton, a former White House aide and critic of President Trump. **A6.**

Jeffrey Epstein's imprisoned former girlfriend she did not witness any sexually inappro-

priate interactions with Donald Trump, according to released Justice Department testimony. **A2.**

The Red Sox shut out the Yankees 1-0, clinching the season series with New York. **C1.**